

Cryptocurrency Technical Analysis and Indicator Guide

1. Trend Identification

- **Bullish Trend:** Characterized by Higher Highs (HH) and Higher Lows (HL) on the OHLCV chart. Moving averages are sloping upwards.
- **Bearish Trend:** Characterized by Lower Highs (LH) and Lower Lows (LL) on the chart. Moving averages are sloping downwards.
- **Neutral (Sideways) Trend:** Price moves within a horizontal range. Equal highs and equal lows.

2. Support and Resistance

- **Support Level:** A price level where a downtrend tends to pause due to a concentration of demand (buying interest). It acts as a "floor".
- **Resistance Level:** A price level where an uptrend tends to pause due to a concentration of supply (selling interest). It acts as a "ceiling".
- **Breakouts:** When price aggressively closes above resistance, it indicates strong bullish momentum. When it closes below support, it indicates strong bearish momentum.

3. Volume Analysis

- **Volume Validation:** A true price breakout (either up or down) must be accompanied by high trading volume. Low volume during a breakout suggests a "fakeout" or trap.
- **Divergence:** If the price is rising but the volume is decreasing, the bullish trend is losing strength and a reversal is likely.

4. Candlestick Patterns

- **Bullish Engulfing:** A large green candle completely engulfs the previous red candle. Indicates strong buying pressure.
- **Bearish Engulfing:** A large red candle completely engulfs the previous green candle. Indicates strong selling pressure.
- **Doji:** Open and close prices are nearly identical, showing market indecision.